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The Best Time to Buy and Sell

After all that's been said, I don't want to sound like a market timer and tell you that there's a certain best time to buy stocks. The best time to buy stocks will always be the day you've convinced yourself you've found solid merchandise at a good price—the same as at the department store. However, there are two particular periods when great bargains are likely to be found.

The first is during the peculiar annual ritual of end-of-the-year tax selling. It's no accident that the most severe drops have occurred between October and December. It's the holiday period, after all, and brokers need spending money like the rest of us, so there's extra incentive for them to call and ask what you might want to sell to get the tax loss. For some reason investors are delighted to get the tax loss, as if it's a wonderful opportunity or a gift of some kind—I can't think of another situation in which failure makes people so happy.

Institutional investors also like to jettison the losers at the end of the year so their portfolios are cleaned up for the upcoming evaluations. All this compound selling drives stock prices down, and especially in the lower-priced issues, because once the $6-per-share threshold is reached, stocks do not count as collateral for people who buy on credit in margin accounts. Margin players sell their cheap stocks, and so do the institutions, who cannot own them without violating one stricture or another. This selling begets more selling and drives perfectly good issues to crazy levels.

If you have a list of companies that you'd like to own if only the stock price were reduced, the end of the year is a likely time to find the deals you've been waiting for.

The second is during the collapses, drops, burps, hiccups, and freefalls that occur in the stock market every few years. If you can summon the courage and presence of mind to buy during these scary episodes when your stomach says "sell," you'll find opportunities that you wouldn't have thought you'd ever see again. Professionals are often too busy or too constrained to act quickly in market breaks, but look at the solid companies with excellent earnings growth that you could have picked up in the latest ones: